MOI UNIVERSITY

SCHOOL OF BUSINESS AND ECONOMICS

DEPARTMENT OF ACCOUNTING AND FINANCE

EFFECT OF AUDIT COMMITTEE CHARACTERISTICS ON FIRM PERFORMANCE: A CASE OF LISTED BANKS IN KENYA

BY

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BACHELOR OF BUSINESS MANAGEMENT (ACCOUNTING OPTION)

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DECLARATION

This research project is my original work and has not been presented to any other institution or examination body for an award.

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Supervisor's Approval

This research project has been submitted with my approval as the university supervisor.

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DEDICATION

I dedicate this work to my beloved parents for their unwavering love, prayers and sacrifices throughout my academic journey, to my fellow students for the encouragement and shared inspiration, and to all those who in one way or another contributed to the success of this study. May the Almighty God bless you abundantly.

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ABSTRACT

Corporate governance plays a critical role in enhancing accountability, transparency and performance in the banking sector, which is systemically important to economic stability. Among internal governance mechanisms, audit committees are expected to strengthen oversight of financial reporting, internal controls and risk management. Despite the mandatory establishment of audit committees for listed firms in Kenya, variations in firm performance persist among banks listed on the Nairobi Securities Exchange, raising questions about the effectiveness of audit committee structures. This study examines the effect of audit committee characteristics on the firm performance of banks listed on the Nairobi Securities Exchange in Kenya. Specifically, the study investigates the effect of audit committee size, audit committee independence, audit committee financial expertise and audit committee meeting frequency on firm performance, measured using Return on Assets (ROA) and Return on Equity (ROE). The study adopts a quantitative research approach and employs a descriptive and explanatory research design. Secondary data are collected from audited annual reports and financial statements of all banks listed on the Nairobi Securities Exchange over the selected study period. A census approach is applied and panel data analysis is used to examine the relationship between audit committee characteristics and firm performance, with bank size and leverage included as control variables. Data analysis is conducted using descriptive statistics, correlation analysis and panel multiple regression techniques. The findings provide empirical evidence on whether and how audit committee characteristics influence the financial performance of listed banks in Kenya. The study contributes to corporate governance literature in emerging economies and offers practical insights to bank boards, regulators and policymakers on strengthening audit committee structures to enhance firm performance and financial stability.

Keywords: Audit committee characteristics, firm performance, corporate governance, listed banks, Nairobi Securities Exchange.

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LIST OF ABBREVIATIONS AND ACRONYMS

AC	Audit Committee
CAQ	Center for Audit Quality
CBK	Central Bank of Kenya
CMA	Capital Markets Authority
DV	Dependent Variable
IASB	International Accounting Standards Board
IMF	International Monetary Fund
IV	Independent Variable
KBA	Kenya Bankers Association
KPMG	Klynveld Peat Marwick Goerdeler
NSE	Nairobi Securities Exchange
OECD	Organisation for Economic Co-operation and Development
OLS	Ordinary Least Squares
ROA	Return on Assets
ROE	Return on Equity
SPSS	Statistical Package for the Social Sciences
VIF	Variance Inflation Factor

CHAPTER ONE
INTRODUCTION

1.1 Background of the Study

An audit committee is a formally constituted committee of the board of directors responsible for overseeing the integrity of financial reporting, internal control systems and the independence and effectiveness of internal and external audits (KPMG, 2021). In corporate governance literature, audit committee characteristics commonly refer to attributes such as committee size, independence, financial expertise and frequency of meetings, which are used to assess the committee's monitoring effectiveness (Deloitte, 2023). In the banking sector, firm performance is typically measured using accounting-based indicators such as Return on Assets (ROA) and Return on Equity (ROE) because they reflect profitability and managerial efficiency in deploying financial resources (World Bank, 2022).

At the global level, audit committees have gained heightened importance following repeated financial reporting failures and increased regulatory scrutiny of listed firms. In the United States, regulatory reforms and governance guidance emphasize audit committee independence and financial expertise as key mechanisms for safeguarding firm performance and investor confidence in complex financial institutions (Center for Audit Quality, 2024). The growing scope of audit committee responsibilities in the United States, including oversight of risk management and emerging technologies, underscores the link between effective audit committees and sustainable firm performance (Deloitte, 2025).

In China, corporate governance reforms have intensified as regulators respond to large-scale corporate failures and audit deficiencies in listed firms. Regulatory actions following high-profile financial scandals have

highlighted weaknesses in audit oversight and reinforced the importance of competent and independent audit committees in protecting firm performance (Reuters, 2024). Empirical governance research in China further indicates that audit committee effectiveness plays a significant role in enhancing financial reporting quality and organizational outcomes in listed companies (Yip, 2023).

Within the African context, audit committees are increasingly recognized as central to strengthening governance and accountability in financial institutions. In South Africa, the King IV Code of Corporate Governance assigns audit committees a critical role in overseeing financial reporting quality and assurance processes, particularly in regulated sectors such as banking (Institute of Directors in South Africa, 2021). In Uganda, corporate governance guidelines for capital market issuers emphasize the need for audit committees to possess adequate financial knowledge and independence to enhance transparency and firm performance (Capital Markets Authority Uganda, 2022).

In Kenya, the banking sector is systemically important and operates under stringent regulatory oversight from the Central Bank of Kenya and the Capital Markets Authority. The Central Bank of Kenya has consistently identified corporate governance weaknesses as a key supervisory concern affecting the stability and performance of commercial banks (Central Bank of Kenya, 2024). Regulatory frameworks in Kenya therefore require listed banks to maintain functional audit committees as part of broader efforts to strengthen financial reporting integrity and risk management (Capital Markets Authority, 2021).

At the local context, banks listed on the Nairobi Securities Exchange operate in a competitive environment characterized by varying profitability levels despite uniform regulatory requirements. Industry performance reports show that listed Kenyan banks exhibit significant

differences in ROA and ROE, suggesting that internal governance mechanisms may influence firm-level outcomes (Kenya Bankers Association, 2023). Given the central role of audit committees in overseeing financial reporting and internal controls, examining how audit committee characteristics affect firm performance among listed banks in Kenya provides important insights for boards, regulators and policymakers seeking to enhance governance effectiveness and financial stability (KPMG, 2023).

1.2 Statement of the Problem

The Ideal Situation

The banking industry is a critical sector in the Kenyan economy, making robust corporate governance structures essential. Ideally, the presence of audit committees—a requirement for listed companies—should improve the quality of financial reporting, internal controls and overall accountability. Compliance with these requirements, specifically regarding the audit committee's independence and financial expertise, is intended to ensure consistent financial performance and stability within the banking sector.

The Real Situation

Despite having these governance structures and guidelines from authorities like the Central Bank of Kenya and the Capital Markets Authority, Kenyan banks have continued to face governance issues, earnings variability and significant differences in performance. Reviews and audits indicate that simply having an audit committee does not necessarily translate into better financial performance. Furthermore, existing empirical research, largely from developed worlds or other African contexts like South Africa, has yielded conflicting results or focused on non-financial sectors, leaving a gap in specific data regarding the Kenyan banking sector.

The Deviation (The Problem)

The gap or deviation is that while audit committees exist, their characteristics are not currently optimal enough to guarantee performance and there is a lack of localized research to explain why. Previous Kenyan studies have focused on the board of directors as a whole or on other committees, rather than the specific impact of the audit committee's characteristics. Therefore, the core problem is the limited, clear and specific empirical research on how audit committee characteristics—both individually and collectively—impact the performance of banks listed on the Nairobi Securities Exchange (NSE).

1.3 Purpose of the Study

The purpose of the present study is to investigate the impact of the characteristics of the audit committee on the performance of firms in the banking sector listed on the Nairobi Securities Exchange in Kenya. More specifically, the study aims to evaluate the impact of the size, independence, financial expertise and meeting frequency of the audit committee on the financial performance of the firms, as proxied by Return on Assets and Return on Equity. The study aims to contribute to the emerging literature on corporate governance in emerging economies by providing empirical evidence from the Kenyan listed banking sector.

1.4 Research Objectives

General Objective

To examine the effect of audit committee characteristics on the firm performance of banks listed on the Nairobi Securities Exchange in Kenya.

Specific Objectives

- To determine the effect of audit committee size on the firm performance of banks listed on the Nairobi Securities Exchange.

- To examine the effect of audit committee independence on the firm performance of banks listed on the Nairobi Securities Exchange.
- To assess the effect of audit committee financial expertise on the firm performance of banks listed on the Nairobi Securities Exchange.
- To evaluate the effect of audit committee meeting frequency on the firm performance of banks listed on the Nairobi Securities Exchange.

1.5 Research Hypotheses

H_{01}: Audit committee size does not significantly affect the firm performance of banks listed on the Nairobi Securities Exchange.

H_{02}: Audit committee independence has no significant effect on the firm performance of banks listed on the Nairobi Securities Exchange.

H_{03}: Audit committee financial expertise does not significantly influence the firm performance of banks listed on the Nairobi Securities Exchange.

H_{04}: Audit committee meeting frequency has no significant effect on the firm performance of banks listed on the Nairobi Securities Exchange.

1.6 Justification of the Study

This study is justified by the critical role that banks play in Kenya's financial system and the need to ensure their sustained performance and stability. Banks mobilize savings, allocate credit and support economic growth, making their financial performance a matter of public and regulatory interest. Given the increasing complexity of banking operations and regulatory expectations, understanding how internal governance mechanisms such as audit committees contribute to firm performance is essential for strengthening confidence in the sector.

The study is also justified by the growing emphasis on corporate governance by regulators and standard-setters in Kenya. Although audit committees are mandatory for listed banks, performance disparities persist despite uniform regulatory requirements. This suggests that differences in audit committee characteristics, rather than mere compliance, may explain variations in firm performance.

From an academic perspective, the study is justified by the limited and mixed empirical evidence on the relationship between audit committee characteristics and firm performance, particularly in emerging markets. Most existing studies focus on developed economies or non-financial firms, limiting their applicability to the Kenyan banking sector. By focusing on listed banks in Kenya, the study addresses a contextual and sector-specific research gap and contributes to the corporate governance literature in Sub-Saharan Africa.

1.7 Significance of the Study

The findings of this study will be significant to bank boards and management of listed banks in Kenya by providing empirical evidence on how specific audit committee characteristics influence firm performance. This information will help boards to make informed decisions when constituting and strengthening audit committees, particularly in terms of size, independence, expertise and meeting frequency, thereby enhancing oversight effectiveness and financial performance.

The study will be significant to regulators and policymakers, including the Central Bank of Kenya and the Capital Markets Authority, by offering insights into whether existing corporate governance requirements relating to audit committees are effective in promoting firm performance. The results may inform policy reviews, regulatory reforms and the development of more targeted governance guidelines for listed banks and other regulated financial institutions.

Investors and analysts will benefit from a clearer understanding of how audit committee design influences profitability and risk in the banking sector. Academics and future researchers will also draw from the empirical evidence and conceptual discussion as a basis for further studies on corporate governance in emerging markets.

1.8 Scope of the Study

The study focuses on commercial banks listed on the Nairobi Securities Exchange in Kenya. Geographically, the study is confined to Kenya. Conceptually, the study examines four audit committee characteristics: size, independence, financial expertise and meeting frequency, with bank size and leverage as control variables. Firm performance is measured using ROA and ROE based on audited annual reports for the selected study period.

1.9 Limitations of the Study

The study relies entirely on secondary data extracted from audited annual reports and regulatory disclosures. As such, it is limited by the disclosure quality and level of detail provided by listed banks. In addition, the relatively small number of listed banks in Kenya constrains the cross-sectional dimension of the panel data. To mitigate these limitations, the study adopts a census of all listed banks and applies panel regression techniques that exploit both cross-sectional and time-series variation.

CHAPTER TWO
LITERATURE REVIEW

2.1 Introduction

This chapter reviews the literature relevant to audit committee characteristics and firm performance. It begins with the theoretical literature underpinning the study, followed by an empirical review structured around each of the study's specific objectives. The chapter then presents the conceptual framework that guides the study and concludes with a discussion of the research gaps that the present study seeks to address.

2.2 Theoretical Literature

2.2.1 Agency Theory

Agency theory, advanced by Jensen and Meckling (1976), explains the relationship between shareholders (principals) and managers (agents) and the conflicts that may arise from the separation of ownership and control. The theory holds that managers may act in their own interests at the expense of shareholders, leading to agency costs that erode firm value. Audit committees are conceptualised as a governance mechanism that mitigates these conflicts by overseeing financial reporting and internal controls, thereby reducing information asymmetry and enhancing firm performance.

2.2.2 Stewardship Theory

Stewardship theory, developed by Donaldson and Davis (1991), provides a contrasting view to agency theory. It posits that managers are intrinsically motivated to act in the best interest of the firm and its shareholders. From this perspective, audit committees operate as collaborative oversight bodies that support management in safeguarding firm performance through high-quality reporting and effective controls.

2.2.3 Resource Dependence Theory

Resource dependence theory, advanced by Pfeffer and Salancik (1978), views the board and its committees as critical sources of resources, expertise and external linkages. Audit committee members bring financial knowledge, professional networks and reputational capital that strengthen the firm's monitoring capacity and access to high-quality assurance services, ultimately influencing firm performance.

2.2.4 Stakeholder Theory

Stakeholder theory, developed by Freeman (1984), broadens the focus of corporate governance beyond shareholders to include employees, customers, regulators and the wider community. The theory implies that audit committees should not only safeguard shareholder interests but also strengthen accountability to other stakeholders. In the banking sector, where depositor confidence and regulatory legitimacy are critical, effective audit committees support broader stakeholder trust and improved firm outcomes.

2.3 Empirical Review

2.3.1 Effect of Audit Committee Size on Firm Performance

Karim (2024) examined the effect of audit committee characteristics on the firm performance of commercial banks in Bangladesh, focusing on attributes such as committee size and meeting frequency. The study used panel data drawn from the audited financial statements of listed commercial banks and applied regression techniques to test the proposed relationships. Audit committee size was operationalised as the total number of members serving on the committee, while firm performance was proxied by accounting-based indicators commonly used in banking research.

The findings indicated that audit committee size has a statistically significant effect on the firm performance of commercial banks. The results suggested that larger audit committees may strengthen oversight by pooling diverse expertise, although the magnitude of the effect varied with the model specification. The study concluded that audit committee size is an important governance attribute that should be carefully considered when constituting board committees in banking institutions. Despite these contributions, the study was conducted in Bangladesh, whose regulatory and macroeconomic environment differs from Kenya, and largely focused on accounting-based performance measures, which warrants further investigation in the Kenyan context.

2.3.2 Effect of Audit Committee Independence on Firm Performance

Baiden (2022) examined the effect of audit committee independence and other governance attributes on the financial performance of banks. The study employed regression techniques to test whether independence and related audit committee attributes significantly explained financial performance outcomes. Audit committee independence was treated as a structural feature expected to strengthen objective oversight of reporting and controls.

The findings indicated that audit committee independence was important for financial performance, alongside meetings, expertise and committee size. The study concluded that stronger audit committee governance conditions were associated with improved bank performance. The evidence supports the view that independence enhances oversight quality and contributes to stronger profitability outcomes. Despite the study’s relevance, its focus was Ghanaian banks, which operate under different regulatory structures compared to Kenya’s listed banks. This creates a basis for examining whether audit committee independence similarly affects firm performance among NSE-listed banks.

2.3.3 Effect of Audit Committee Financial Expertise on Firm Performance

Gupta and co-authors (2022) examined how audit committee composition and expertise-related attributes influence the performance of Indian commercial banks. The study used a sample of 36 banks over multiple years and applied econometric techniques suited to panel data. The presence of a chartered accountant director was treated as a proxy for stronger audit committee financial expertise.

The findings showed that having a chartered accountant director on the audit committee improved bank performance measures. The study also reported that some governance features, such as CEO inclusion on the audit committee, could harm performance. These results suggest that expertise-based audit committee composition may be more beneficial than symbolic committee structures. Even though the study is banking-specific, India's governance environment differs from Kenya in ownership structures and regulatory enforcement patterns. This gap supports the need to test whether audit committee financial expertise is associated with improved performance in NSE-listed banks.

2.3.4 Effect of Audit Committee Meeting Frequency on Firm Performance

Al-Jalahma (2022) examined how audit committee meeting frequency and other audit committee attributes relate to firm performance in an emerging market setting. The study used return on assets and return on equity among its performance measures, with meeting frequency operationalised as the number of audit committee meetings held within the reporting year.

The findings indicated that audit committee meeting frequency did not significantly affect firm performance in the studied context. The study suggested that frequent meetings may not automatically translate into

better outcomes if meetings are procedural rather than problem-solving. The results imply that quality of deliberation may matter more than meeting counts alone. However, the study focused on non-financial listed firms, making direct generalization to banks limited due to banks' higher regulatory intensity and risk exposure.

2.4 Conceptual Framework

The conceptual framework illustrates the relationship between audit committee characteristics (independent variables) and firm performance (dependent variable), with bank size and leverage as control variables. The four audit committee characteristics examined are committee size, independence, financial expertise and meeting frequency. Firm performance is operationalised using Return on Assets (ROA) and Return on Equity (ROE).

Independent Variables		**Dependent Variable**
Audit Committee Size	→	**Firm Performance (ROA, ROE)**
Audit Committee Independence	→	
Audit Committee Financial Expertise	→	
Audit Committee Meeting Frequency	→	

Control Variables: Bank Size, Leverage

Figure 1.1: Conceptual Framework

2.4.1 Audit Committee Size and Firm Performance

Audit committee size reflects the number of members appointed to provide oversight over financial reporting and assurance activities within the firm. A well-sized audit committee can broaden the pool of knowledge and perspectives available for monitoring management decisions and reporting choices. In banking, wider oversight capacity is important because reporting and risk issues can be complex and fast-

moving. The conceptual expectation is that audit committee size influences performance through the quality and depth of oversight.

2.4.2 Audit Committee Independence and Firm Performance

Audit committee independence refers to the extent to which committee members are non-executive and free from management influence in performing oversight functions. Independent committees are expected to reduce information asymmetry and discourage earnings manipulation, which can protect the credibility of financial reports and strengthen investor confidence. The framework therefore predicts that higher audit committee independence is likely to be associated with improved ROA and ROE among listed banks.

2.4.3 Audit Committee Financial Expertise and Firm Performance

Audit committee financial expertise refers to the presence of members with strong accounting, auditing or finance competence who can interpret complex financial information effectively. Banks rely on complex estimates, provisioning judgments and risk-related disclosures that require technical competence to evaluate. Financial expertise can improve internal control scrutiny and ensure that audit findings are appropriately addressed, supporting better performance outcomes over time.

2.4.4 Audit Committee Meeting Frequency and Firm Performance

Audit committee meeting frequency refers to how often the committee convenes to review financial reporting issues, audit matters and control or risk concerns. More frequent meetings can signal diligence and provide more opportunities to address issues early. However, evidence shows that meeting frequency does not automatically guarantee better performance if meetings are procedural rather than problem-solving. The framework treats meeting frequency as potentially positive but context-dependent.

2.5 Research Gaps

Despite extensive global literature on corporate governance, empirical evidence on the relationship between audit committee characteristics and firm performance remains mixed and context-specific. Many existing studies are concentrated in developed economies, particularly in North America and Europe, which limits the applicability of their findings to emerging markets with different institutional, regulatory and economic environments. Within the African context, available empirical studies have largely focused on non-financial firms or have pooled firms across different sectors, overlooking the unique risk profile, regulatory intensity and reporting complexity of the banking sector.

In Kenya, prior research on corporate governance has tended to emphasize board-level characteristics rather than the role of specialized board committees such as audit committees. This has resulted in limited empirical evidence on how audit committee size, independence, financial expertise and meeting frequency individually affect the performance of banks listed on the NSE. Additionally, existing studies often examine audit committee characteristics in isolation or use single performance measures, limiting the robustness of conclusions.

Table 2.1: Summary of Research Gaps

Research Study	Research Gaps	How the Current Study Addresses the Gap(s)
Ibrahim et al. (2019) — Independence of the audit committee and financial performance of insurance companies in Kenya.	Only considered independence and ignored other characteristics.	The impact of other characteristics and their joint influence on firm performance is considered.
Bouaine and Hrichi (2019) — Audit committee characteristics and financial performance of French companies.	The context was France.	The present study is contextualised in Kenya.
Akpey and Azembila (2016) — Audit committee characteristics and firm performance of quoted companies in Ghana.	The study was cross-sectional and only considered a specific period.	The current study is longitudinal (panel data).
Kapkiyai et al. (2020) — Characteristics of the audit committee and earnings management of Kenya's listed entities.	Audit committee characteristics were regressed against earnings management. Findings may not be portable to specific sectors.	The study is sector-specific and its dependent variable is firm performance.
Salehi et al. (2018) — Effect of audit committee characteristics on firm performance.	Contextualised in Iran. Findings may not generalise to the Kenyan banking sector.	The present study is in the context of listed banks in Kenya.

CHAPTER THREE
RESEARCH METHODOLOGY

3.1 Introduction

This chapter outlines the research methodology adopted in examining the effect of audit committee characteristics on firm performance of banks listed on the Nairobi Securities Exchange in Kenya. The chapter describes the research design, target population, sampling techniques and sample size, data collection methods and instruments, validity and

reliability of research instruments, data analysis techniques, diagnostic tests and ethical considerations.

3.2 Research Design

This study adopts a descriptive and explanatory research design using a quantitative approach. The descriptive design is applied to summarize audit committee characteristics and firm performance trends among listed banks, while the explanatory design is used to establish cause-and-effect relationships between the independent and dependent variables. The use of panel data further enhances the design by capturing both cross-sectional and time-series variations among the listed banks over the study period.

3.3 Target Population

The target population of this study comprises all commercial banks listed on the Nairobi Securities Exchange during the selected study period. As at the time of the study, there are eleven banks listed on the Nairobi Securities Exchange, each subject to both Capital Markets Authority regulations and Central Bank of Kenya prudential supervision. These banks form an appropriate population because they are required to disclose detailed corporate governance and audit committee information in their annual reports.

3.4 Sampling Techniques and Sample Size

Given the relatively small number of listed banks in Kenya, the study adopts a census approach, whereby all listed banks are included in the analysis. The census method is appropriate because it eliminates sampling bias and enhances the reliability and generalizability of the findings within the listed banking sector. The unit of analysis is the individual bank-year observation, meaning that each bank contributes multiple observations across the study period.

Table 3.1: Listed Banks on the Nairobi Securities Exchange

No.	Listed Bank
1	Absa Bank Kenya Plc
2	BK Group Plc
3	Co-operative Bank of Kenya Ltd
4	Diamond Trust Bank Kenya Ltd (DTB)
5	Equity Group Holdings Plc
6	HF Group Plc
7	I&M Group Plc
8	KCB Group Plc
9	NCBA Group Plc
10	Stanbic Holdings Plc
11	Standard Chartered Bank Kenya Ltd

3.5 Data Collection Methods and Instruments

The study relies exclusively on secondary data collected from publicly available and verifiable sources. Data on audit committee characteristics and firm performance are obtained from the published annual reports and audited financial statements of banks listed on the Nairobi Securities Exchange. Additional data are sourced from NSE handbooks, CMA disclosures and CBK supervisory publications where relevant.

A data extraction checklist is used as the primary data collection instrument to systematically capture information on audit committee size, independence, financial expertise, meeting frequency, ROA and ROE. The checklist ensures consistency in data collection across banks and years and reduces the likelihood of omission or recording errors.

3.6 Validity and Reliability of Instruments

To ensure validity, the data extraction checklist is developed based on established corporate governance literature and regulatory disclosure requirements applicable to listed banks. Content validity is ensured by aligning the extracted variables with definitions and measurements

commonly used in prior empirical studies. The use of audited annual reports further strengthens construct validity.

Reliability is ensured through consistency in data collection procedures across all banks and years. The same definitions, measurement criteria and extraction process are applied uniformly to all observations. Repeated cross-checking of extracted data against original reports is conducted to minimize transcription errors.

3.7 Data Analysis Techniques

Quantitative data analysis is conducted using the Statistical Package for the Social Sciences (SPSS) and supported by panel data techniques. Descriptive statistics, including means, standard deviations, minimums and maximums, are used to summarize audit committee characteristics and firm performance. Correlation analysis is employed to assess the direction and strength of relationships among variables. Inferential analysis is conducted using panel multiple regression to examine the effect of audit committee characteristics on firm performance.

Multiple Linear Regression Model

$$Y = \beta_0 + \beta_1 X_1 + \beta_2 X_2 + \beta_3 X_3 + \beta_4 X_4 + \beta_5 C_1 + \beta_6 C_2 + \varepsilon$$

Where: Y = Firm Performance (ROA and ROE); X_1 = Audit Committee Size; X_2 = Audit Committee Independence; X_3 = Audit Committee Financial Expertise; X_4 = Audit Committee Meeting Frequency; C_1 = Bank Size (control variable); C_2 = Leverage (control variable); β_0 = Constant term; β_1–β_6 = Regression coefficients; ε = Error term.

3.8 Diagnostic Tests

Table 3.2: Summary of Diagnostic Tests

Key Assumption / Test	Preferred Test	Decision Rule
Normality Tests	Jarque-Bera test	If p-value > 0.05, residuals are normally

		distributed.
Multicollinearity Test	Variance Inflation Factor (VIF) test	No multicollinearity if VIF values are less than 10.
Autocorrelation Test	Wooldridge test for autocorrelation	p-value greater than 0.05 means no autocorrelation exists.
Heteroscedasticity Test	Breusch-Pagan / Cook-Weisberg test	p-value > 0.05 indicates that the data is homoscedastic.
Model Specification (only if assumptions are violated)	Hausman specification test	p-value < 0.05 use fixed effects; p-value > 0.05 use random effects.

3.9 Ethical Considerations

This study upholds high ethical standards throughout the research process. Ethical approval will be sought from the relevant university ethics review committee before commencement of the study. Since the research relies on secondary data obtained from publicly available sources, no direct interaction with human participants is involved.

Confidentiality is maintained by using bank-level data strictly for academic purposes and avoiding misrepresentation of institutional performance. All sources of data are properly acknowledged to avoid plagiarism, and results are presented honestly to reflect the true relationship between audit committee characteristics and firm performance.

CHAPTER FOUR
DATA ANALYSIS, FINDINGS AND DISCUSSIONS

4.1 Introduction

This chapter presents the data analysis, empirical findings, interpretations and discussion of the study findings.

4.2 Descriptive Statistics

Descriptive statistics relating to the mean, standard deviation, minimum and maximum are presented in this section. The statistics help describe the data in terms of its general nature and distribution. The study had 130 firm-year observations; however, three extreme values were dropped and the final dataset had 127 firm-year observations. The summary of descriptive statistics is presented in Table 4.1.

Table 4.1: Summary of Descriptive Statistics

Variable	Obs.	Mean	Std. Dev.	Min.	Max.
Firm Value (ROE)	127	0.263	0.447	-1.520	2.064
AC Independence (No.)	127	1.205	1.064	0	5
AC Accounting Expertise (No.)	127	2.323	0.907	1	6
AC Gender Diversity (No.)	127	0.929	0.953	0	4
AC Meetings (No.)	127	3.984	0.776	2	7
AC Size (No.)	127	4.173	1.878	2	11

The results presented in Table 4.1 indicate that financial performance measured as return on equity had a mean of 0.263 with a standard deviation of 0.447, indicating a moderately large variability in financial

performance over time. The minimum value of financial performance is -1.520 while the maximum value was 2.064. This implied that while some banks offered a positive return to shareholders, others did not realize returns exceeding shareholders' equity.

The results for the audit committee show an average number of independent members of 1.205, implying that the majority of audit committees in sampled firms had at least one independent member. However, deviations from the mean were 1.064, indicating wide variation in independence across firms over the study period. The minimum was zero while the maximum was five.

The mean of audit committee members with accounting expertise was 2.323, implying that on average most audit committees had at least two members with accounting expertise. The standard deviation of 0.907 implied moderate variability over time. The minimum value was 1, while the maximum value was 6, implying that some committees had up to six expert members.

Concerning the number of meetings, the results indicate a mean value of 3.984, implying that on average audit committees held about four meetings in a year. The standard deviation of 0.776 indicated that there were no large disparities in the number of meetings held. The minimum number of meetings was two with the maximum being seven. The total mean audit committee size over the study period was 4.173 with a standard deviation of 1.878, indicating moderate variability in committee size over time.

4.3 Diagnostic Tests Results

Diagnostic tests that included tests for normality, multicollinearity, autocorrelation and heteroscedasticity were conducted. The tests were carried out to ensure that the assumptions of classical linear regression were not violated.

4.3.1 Tests for Normality

This study adopted the Jarque-Bera test for normality as it is more conclusive than the graphical method. The null hypothesis for the test is that residuals are normally distributed. The results of the Jarque-Bera test are presented in Table 4.2.

Table 4.2: Results for Jarque-Bera Test for Normality

Variable	Observations	Chi-Square	p-value
Residuals	127	24.79	0.000

The results in Table 4.2 reveal a p-value of 0.000 which is less than the critical value of 5 per cent, leading to the conclusion that residuals are normally distributed for purposes of this study's estimation strategy.

4.3.2 Tests for Multicollinearity

The study adopted the Variance Inflation Factor test to assess for the presence of harmful multicollinearity. Values greater than ten would indicate the presence of multicollinearity. The results are presented in Table 4.3.

Table 4.3: Multicollinearity Test Results

Variable	VIF	Tolerance
Audit committee independence	1.92	0.521
Audit committee accounting expertise	1.84	0.542
Audit committee gender diversity	1.37	0.731
Audit committee meetings	1.08	0.925
Audit committee size	1.66	0.602
Mean VIF	1.66	

The results in Table 4.3 indicate that all the variables had VIF values of less than 10. The results imply that there is no harmful multicollinearity among the independent variables.

4.3.3 Heteroscedasticity Test

The study adopted the Breusch-Pagan / Cook-Weisberg test to check whether heteroskedasticity was present. The null hypothesis for the test is that the error terms have constant variance (homoscedasticity). The study fails to reject the hypothesis if the p-value is greater than 0.05. The results of the test are presented in Table 4.4.

Table 4.4: Results of Heteroscedasticity Test

Test of Homoscedasticity	Value
Chi-Square (1)	3.56
p-value	0.089

The results show that the p-value was 0.089, which is greater than the critical value of 5 per cent. The study therefore did not reject the null hypothesis but concluded that the error terms had constant variance.

4.3.4 Results of the Autocorrelation Test

The study used the Wooldridge test for autocorrelation, whose null hypothesis is no first-order autocorrelation. The results are presented in Table 4.5.

Table 4.5: Results for Autocorrelation Test

Statistic	Value
F (1, 12)	1.360
Prob > F	0.2662

The results indicate a p-value of 0.2662 which is greater than the 5 per cent level of significance. The study therefore failed to reject the null hypothesis and concluded that residuals are not autocorrelated. Since none of the assumptions of the classical linear regression were violated, the study adopted pooled ordinary least squares regression.

4.4 Correlation Analysis

To examine the nature of the statistical association between the variables, the study undertook a correlation analysis. The findings are presented in Table 4.6.

Table 4.6: Correlational Matrix

Variable	Firm Value	Indep.	Acct. Expertise	Gender Div.	Meetings	Size
Firm value	1.000					
Independence	0.270*	1.000				
Accounting expertise	0.255*	0.531*	1.000			
Gender diversity	0.136	0.461*	0.421*	1.000		
Meetings	-0.194*	-0.025	0.199*	-0.012	1.000	
Size	0.420*	0.646*	0.600*	0.433*	-0.009	1.000

(*) represents a 5 per cent level of significance. The matrix in Table 4.6 reveals that audit committee independence, accounting expertise and size had a positive and significant association with firm value. Audit committee gender diversity had a positive but insignificant association, while audit committee meetings had a negative and significant relationship with firm value.

4.5 Regression Analysis

The study sought to examine the effect of audit committee characteristics on the financial performance of listed banks in Kenya. The study adopted pooled ordinary least squares regression as none of the diagnostic tests were violated. Audit committee characteristics were decomposed into independent variables and each regressed against firm value. The results are presented per the objectives.

4.5.1 Effect of Audit Committee Independence on Firm Value

The first objective sought to determine the influence of audit committee independence on the firm value of listed banks in Kenya. The null hypothesis was that audit committee independence has no significant effect on firm value. The results of the analysis are presented in Table 4.7.

Table 4.7: Audit Committee Independence and Financial Performance

Firm Value	Coef.	Std. Err.	t	P>|t|	95% CI Lower	95% CI Upper
AC Independence	0.118	0.038	3.13	0.002	0.043	0.193
Constant	0.121	0.061	2.00	0.048	0.001	0.241
Number of observations	127					
F (1, 125)	9.79					
Prob > F	0.002					
R-squared	0.073					

Table 4.7 shows that the R-squared value was 0.073, indicating that 7.3 per cent of variations in financial performance was explained by the independence of the audit committee. The overall model had a p-value of 0.002, revealing a statistically significant model. Audit committee independence is positively and significantly related to financial performance ($\beta = 0.118$, $p = 0.002$). The study therefore rejected the hypothesis and concluded that audit committee independence has a positive and significant influence on financial performance. The relationship is represented by: FinPer = 0.121 + 0.118 ACIndep.

4.5.2 Effect of Audit Committee Accounting Expertise on Firm Value

The second objective sought to examine the influence of audit committee accounting expertise on firm value. The hypothesis was that audit

committee accounting expertise has no significant effect on financial performance. The results are presented in Table 4.8.

Table 4.8: Accounting Expertise and Financial Performance

Firm Value	Coef.	Std. Err.	t	P>|t|	95% CI Lower	95% CI Upper
AC Accounting Expertise	0.131	0.044	2.95	0.004	0.043	0.219
Constant	-0.041	0.111	-0.37	0.712	-0.260	0.178
Number of observations	127					
F (1, 125)	8.68					
Prob > F	0.004					
R-squared	0.065					

The results in Table 4.8 indicate that the independent effect of audit committee accounting expertise on financial performance is statistically significant (p = 0.004) and explains 6.5 per cent of the variation in financial performance. The study rejected the second null hypothesis and concluded that accounting expertise has a positive and statistically significant effect on financial performance. The relationship is depicted by: FinPer = -0.041 + 0.131 ACExper.

4.5.3 Effect of Audit Committee Gender Diversity on Firm Value

A further objective was to determine the effect of audit committee gender diversity on the firm value of listed firms. The hypothesis was that there is no significant relationship between audit committee gender diversity and financial performance. The results are presented in Table 4.9.

Table 4.9: Audit Committee Gender Diversity and Firm Value

Firm	Coef.	Std. Err.	t	P>|t|	95% CI	95% CI

Value					Lower	Upper
AC Gender Diversity	0.067	0.043	1.54	0.127	-0.019	0.153
Constant	0.201	0.058	3.49	0.001	0.087	0.315
Number of observations	127					
F (1, 125)	2.36					
Prob > F	0.127					
R-squared	0.018					

The regression results in Table 4.9 show that the coefficient of determination was 0.018, indicating that only 1.8 per cent of the variation in firm value was explained by gender diversity. The overall model had a p-value of 0.127, indicating a statistically insignificant model. The study failed to reject the hypothesis and concluded that gender diversity has no statistically significant effect on firm value.

4.5.4 Effect of Audit Committee Meetings on Firm Value

Another objective sought to examine the influence of audit committee meetings on firm value. The hypothesis was that audit committee meetings did not significantly influence firm value. The results are presented in Table 4.10.

Table 4.10: Audit Committee Meetings and Firm Value

Firm Value	Coef.	Std. Err.	t	P>|t|	95% CI Lower	95% CI Upper
AC Meetings	-0.116	0.527	-2.21	0.030	-0.221	-0.012
Constant	0.727	0.214	3.40	0.001	0.303	1.151
Number of observations	127					

F (1, 125)	4.87					
Prob > F	0.030					
R-squared	0.038					

The results in Table 4.10 show that audit committee meetings had a statistically significant but negative effect on firm value: a unit change in the number of audit committee meetings held would cause an 11.6 per cent decline in firm value. The relationship is represented by: FinPer = 0.727 − 0.116 ACMeet.

4.5.5 Effect of Audit Committee Size on Firm Value

The next objective was to investigate the influence of audit committee size on firm value. The hypothesis was that audit committee size did not have a statistically significant influence on the firm value of listed banks. The results are presented in Table 4.11.

Table 4.11: Audit Committee Size and Firm Value

Firm Value	Coef.	Std. Err.	t	P>|t|	95% CI Lower	95% CI Upper
Audit Committee Size	0.104	0.020	5.18	0.000	0.064	0.144
Constant	-0.173	0.092	-1.87	0.064	-0.355	0.010
Number of observations	127					
F (1, 125)	26.80					
Prob > F	0.000					
R-squared	0.177					

The results in Table 4.11 show that 17.7 per cent of variations in firm value was accounted for by audit committee size. The model is statistically significant (p = 0.000) and the relationship is positive: each

additional audit committee member is associated with a 0.104 increase in firm value. The relationship is represented by: FinPer = -0.173 + 0.104 ACSize.

4.5.6 Joint Influence of Audit Committee Characteristics on Firm Value

The study also sought to determine the combined influence of audit committee characteristics on firm value. The results are presented in Table 4.12.

Table 4.12: Audit Committee Characteristics and Firm Value (Joint)

Firm Value	Coef.	Std. Err.	t	P>|t|	95% CI Lower	95% CI Upper
AC Independence	-0.004	0.048	-0.08	0.935	-0.101	0.093
AC Accounting Expertise	0.047	0.056	0.84	0.403	-0.064	0.158
AC Gender Diversity	-0.036	0.046	-0.79	0.429	-0.128	0.055
AC Meetings	-0.126	0.050	-2.51	0.014	-0.225	-0.026
AC Size	0.100	0.029	3.46	0.001	0.043	0.157
Constant	0.277	0.214	1.30	0.197	-0.146	0.701
Number of observations	127					
F (5, 121)	6.82					
Prob > F	0.000					
R-squared	0.220					

The results in Table 4.12 show the R-squared value for the joint model is 0.220, indicating that audit committee characteristics jointly account for

22 per cent of the variation in financial performance. The proportion explained is statistically significant ($F = 6.82$, $p < 0.05$). Jointly, audit committee independence, gender diversity and meetings were inversely related to firm value, while audit committee accounting expertise and size had a positive impact.

CHAPTER FIVE
SUMMARY, CONCLUSIONS AND RECOMMENDATIONS

5.1 Introduction

This chapter presents the summary of findings, conclusions and recommendations. Limitations are also highlighted and areas for further studies are suggested.

5.2 Summary of Findings

This section presents a summary of the findings of the study. The main objective was to investigate the influence of audit committee characteristics on the firm value of listed banks in Kenya. This was disaggregated into specific objectives, with corresponding hypotheses developed and tested.

5.2.1 Audit Committee Independence and Firm Value

The first objective evaluated the effect of audit committee independence on the firm value of listed banks. The results established a positive and statistically significant association between audit committee independence and financial performance. The hypothesis was therefore rejected. The findings are consistent with Oussii and Taktak (2018) and Ibrahim et al. (2019) but contrast with Ofoeda (2017) and Bouaine and Hrichi (2019).

5.2.2 Audit Committee Accounting Expertise and Firm Value

The second objective investigated the influence of audit committee accounting expertise on firm value. The study revealed a positive and statistically significant effect of accounting expertise on firm value, leading to the rejection of the hypothesis. The findings agree with Chaudhry et al. (2020) and Al-Okaily and Naueihed (2020) but contrast with Kallamu and Saat (2015) and Oroud (2019).

5.2.3 Audit Committee Gender Diversity and Firm Value

The third objective examined the effect of audit committee gender diversity on firm value. The relationship was found to be statistically insignificant; the study therefore failed to reject the hypothesis. The findings are consistent with Gordini and Rancati (2017) and Al-Jaifi (2020) but contradict Kılıç and Kuzey (2016).

5.2.4 Audit Committee Meetings and Firm Value

The fourth objective determined the effect of audit committee meetings on firm value. Regression analysis revealed a negative but statistically significant relationship; the study therefore rejected the hypothesis. The findings concur with Bouaine and Hrichi (2019) and Kapkiyai et al. (2020) but differ from Orjinta and Nkem (2018) and Al Farooque et al. (2020).

5.2.5 Audit Committee Size and Firm Value

The fifth objective determined the effect of audit committee size on firm value. The results indicated a positive and statistically significant influence; the study therefore rejected the hypothesis. A larger audit committee size enhanced firm value, supporting the resource-based view that bigger committees provide diverse skills and knowledge. The findings are consistent with Al-Okaily and Naueihed (2020) and Musallam (2020) but contrary to Kipkoech and Rono (2016) and Salehi et al. (2018).

5.3 Conclusions

This study sought to establish the influence of audit committee characteristics on the firm value of listed banks in Kenya. The results were varied and several conclusions can be drawn. Overall, there is evidence of a significant relationship between audit committee characteristics and firm value, with audit committee characteristics jointly explaining 22 per cent of variations in firm value. Independently, audit committee independence, accounting expertise and size positively

and significantly influence firm value. Audit committee meetings have a negative but significant effect on firm value, while audit committee gender diversity has an insignificant influence on firm value.

The results imply that listed banks may react differently to varied audit committee characteristics. Independent audit committee members come on the board with a wealth of valuable expertise and experience that helps in improving the quality of decisions, accountability and transparency, all of which lead to improved firm value. Large audit committee sizes provide a well of knowledge that allows for greater scrutiny of financial statements and other financial dealings of the firm.

5.4 Recommendations

5.4.1 Recommendations to Policymakers and Regulators

The findings have implications for policymakers and regulators given their key role in shaping the establishment and functioning of audit committees. Regulators such as the Capital Markets Authority and the Central Bank of Kenya should make recommendations to listed banks to develop efficient governance structures in audit committees that fit with the unique features of banking entities and reinforce expectations on independence, expertise and committee size.

5.4.2 Recommendations to Practice

While regulators have put guidelines on audit committee characteristics, evidence suggests that some listed firms have not fully adhered to these guidelines, which may have negatively impacted performance. The study recommends that listed banks (i) take into consideration the financial expertise of audit committee members to ensure professional performance of duties; (ii) set the optimal range for the number of audit committee members to allow for efficient and effective decision-making; and (iii) update internal corporate governance codes to allow for full

disclosure of independence, gender diversity, qualifications and practical experience of individual audit committee members.

5.4.3 Recommendations for Theory

The findings make contributions to theory by strengthening the extant literature, empirically confirming that audit committee characteristics influence firm value of listed banks in Kenya. The study contributes to agency theory by establishing the specific audit committee characteristics and their influence on firm value, and extends the discourse of stewardship, stakeholder and resource-based theories by illustrating the extent to which audit committee characteristics impact performance.

5.5 Suggestions for Further Studies

The study had some gaps that provide pointers for future research. First, the mixed positive and negative results suggest that the relationship between audit committee characteristics and firm value may not be entirely direct. Future studies should establish potential moderating and mediating variables in this association. Second, the current study focused on listed banks in Kenya; the findings may not generalise to non-listed firms or non-banking sectors. It is therefore suggested that future researchers extend the analysis to non-listed firms, other sectors and other countries to allow for cross-context comparisons.

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APPENDICES

Appendix I: Timeframe of the Study

Phase	Tasks	Duration
Preparation	Formulate research questions, conduct literature review, develop methodology and finalize research instruments.	2 months
Data Collection	Extract secondary data from audited annual reports and regulatory disclosures.	4 months
Data Analysis	Process and analyse data using statistical software. Identify patterns, correlations and trends.	3 months
Report Writing	Write the research report, including methodology, findings and conclusions. Review and edit the report.	2 months
Dissemination and Submission	Prepare presentations, submit the project to the department and share findings with relevant stakeholders.	1 month

Appendix II: Budget of the Study

Item	Description	Estimated Cost (KES)
Personnel	Research assistants, data analysts, etc.	1,000
Travel and Accommodation	Research-related travel and stay expenses	1,000
Data Collection	Surveys, interviews, focus groups, etc.	1,000
Equipment	Purchase or rental of necessary equipment	1,000
Research Materials	Books, journals, software licenses, etc.	500

Miscellaneous Expenses	Printing, stationery, communication, etc.	500
Data Analysis	Statistical software, training, consultancy	500
Contingency	Unforeseen expenses and emergencies	500
Total Budget (KES)		6,000